



**“ One can mathematically arrive at the corpus needed at the time of retirement. Sometimes, one may only estimate a range rather than an absolute number**

**LOVAII NAVLAKHI**  
CHAIRMAN, ARIA



**134 | “ If you are someone who has already retired or is retiring soon, investing your money in a suitable annuity plan is the answer**

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**“ Each investor can choose a suitable product based on risk appetite and time horizon of retirement**

**AMIT JAIN**  
CEO, ASHIKA  
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buying the same amount of goods and services without realising their money hasn't grown the way the cost of living has.

To tackle inflation, prepare a break up of your current expenses and then map the same to a post-retirement scenario by adjusting it against inflation.

Let's work out the math.

How to decide how much corpus one may need at the time of retirement? Lovaii Navlakhi, Chairman, Association of Registered Investment Advisors (ARIA), says there are multiple factors to be considered such as the amount of regular expenditure you have on a monthly basis based on today's value, duly inflated till the start of retirement, any one-time expenditure such as holidays, gifts, replacement of a car, life expectancy, legacy one needs to leave behind, inflation expected during retirement, and returns expected on investment during retirement.

“Once these values are determined, one can mathematically arrive at the corpus needed at the time of retirement. Sometimes, one may only estimate a range rather than an absolute number; in that case, one can arrive at the range of corpus required at the time of retirement.”

To help you ascertain how much you would need at retirement, we have prepared a table. (*See table How to Calculate Your Retirement Corpus*).

“Each investor needs to find out his own retirement corpus depending upon his monthly expenses and keeping an eye on inflation in the economy. For India, we can assume that the retirement corpus should be 16 to 17 times of your family's annual expenses (at the time of retirement). I am presuming India being a growth economy, long-term inflation would range from 5 per cent to 7 per cent on the lower side,” says Jain.

## ASSET MIX

Asset allocation is to investment what oxygen is to human life. It means how to invest money into various asset classes keeping in mind your risk tolerance. It is important to invest in the right asset class as it will decide the kind of returns you will get.

However, the mistake that people make while deciding on this is to become very conservative and ignore equity altogether or have very less exposure. But to get inflation beating returns, one needs to invest in high-growth assets.

The S&P BSE Sensex has given a return of 184 per cent over the period of 10 years, while gold has given only 29 per cent (in dollar terms). The numbers clearly show why there needs to be equity exposure. Apart from equity, here are some of the other avenues that you can consider to build your corpus along with a steady stream of income post retirement.

## PUBLIC PROVIDENT FUND

Public Provident Fund (PPF) is one of the best saving avenues that offer guaranteed and entirely tax-free returns along with ₹1.5 lakh deduction on the investment under section 80C of the Income Tax Act.

Currently, it offers 7.1 per cent interest rate, but the pre-tax yield from PPF comes to around 10.14 per cent (assuming 30 per cent tax bracket) and that too is guaranteed. The tax benefits offered with PPF clearly make it one of the most sought-after retirement tools.

A PPF account is for 15 years, after which it can be continued for five years, provided you submit a renewal letter within one year of maturity. You can also use a PPF account for creating a regular stream of tax-free income by withdrawing a certain amount every year post retirement. However, the downside is you are allowed to invest only ₹1.5 lakh in a PPF account in a particular year.